

FAQ

1. WHAT IS MUDRA?

Micro Units Development & Refinance Agency Ltd. (MUDRA) is a financial institution set up by the Government of India for the development and refinancing of micro-enterprises. It provides funding to non-corporate small business sectors through banks, NBFCs, and MFIs.

2. WHY HAS MUDRA BEEN SET UP?

It was created to address the financial inclusion and funding needs of micro-units and small businesses, enabling them to access institutional credit easily without collateral constraints.

3. WHAT ARE THE ROLES AND RESPONSIBILITIES OF MUDRA?

MUDRA acts as a refinancing agency, formulates policy guidelines, registers MFIs, monitors performance, and provides credit guarantee cover for micro-unit lending.

4. WHAT ARE THE OFFERINGS OF MUDRA? HOW WILL MUDRA FUNCTION?

MUDRA offers refinance support to Last Mile Financiers (Banks, NBFCs, MFIs). It functions through three main products under Pradhan Mantri Mudra Yojana (PMMY): Shishu, Kishor, and Tarun.

5. WHO ARE THE TARGET CLIENTS OF MUDRA/ WHAT KIND OF BORROWERS ARE ELIGIBLE FOR ASSISTANCE FROM MUDRA?

Non-corporate small business segment (NCSBS) individuals, proprietary concerns, partnership firms, small manufacturing units, service sector units, shopkeepers, fruit/vegetable vendors, and artisans.

6. ARE REGIONAL RURAL BANKS (RRBs) ELIGIBLE FOR ASSISTANCE FROM MUDRA?

Yes, Regional Rural Banks are eligible to receive refinance assistance from MUDRA for lending to micro-enterprises.

7. WHAT IS THE RATE OF INTEREST CHARGED BY MUDRA?

MUDRA provides refinance at reasonable interest rates to financial intermediaries. Banks and financial institutions charge end-borrowers reasonable interest based on RBI guidelines and risk assessments.

8. I HAVE A SMALL BUSINESS DEALING IN PAPER GOODS. CAN MUDRA HELP ME?

Yes, non-farm income-generating activities, including paper goods trading and manufacturing, are covered under PMMY through member lending institutions.

9. I HAVE GRADUATED RECENTLY. I WANT TO START MY OWN BUSINESS. CAN MUDRA HELP ME?

Yes, fresh graduates planning to set up micro-enterprises can apply for loans under the Shishu or Kishor category through eligible banks/institutions.

10. I HAVE DIPLOMA IN FOOD PROCESSING TECHNOLOGY. I WANT TO START MY OWN UNIT. PLEASE GUIDE ME.

You can approach any commercial bank, RRB, or MFI with a detailed business plan for setting up a food processing unit under PMMY.

11. I AM AN ARTISAN SPECIALISING IN JARI WORK. I WANT TO START MY OWN WORK INSTEAD OF DOING JOB WORK FOR OTHERS. CAN MUDRA HELP ME?

Yes, artisans doing traditional work like Jari work are eligible for financial assistance under PMMY for establishing independent operations.

12. I INTEND TO WORK ON FRANCHISEE MODEL AND OPEN AN ICE CREAM PARLOUR. CAN MUDRA HELP ME?

Yes, setting up service or retail businesses, including franchisee ice cream parlours, qualifies for MUDRA loans.

13. I WANT TO EXPAND MY POTTERY BUSINESS BY ADDING MORE VARIETY AND DESIGNS. WHAT HELP CAN I GET FROM MUDRA?

You can obtain expansion capital under the Kishor or Tarun categories from nearby scheduled commercial banks or MFIs.

14. WHAT IS THE SCOPE OF PMMY AND VARIOUS TYPES OF LOAN AVAILABLE AND WHICH ARE THE AGENCIES THAT WILL PROVIDE LOAN?

PMMY provides loans up to ₹10 lakh categorized as:

- **Shishu:** Loans up to ₹50,000
- **Kishor:** Loans above ₹50,000 up to ₹5 lakh
- **Tarun:** Loans above ₹5 lakh up to ₹10 lakh

Agencies providing loans include Public/Private Banks, RRBs, Small Finance Banks, NBFCs, and MFIs.

15. WHO WILL MONITOR THE IMPLEMENTATION OF PMMY?

The State Level Bankers' Committee (SLBC) at the state level, District Consultative Committees (DCC) at the district level, and the Department of Financial Services (DFS), Government of India, along with MUDRA.

16. IS THERE ANY SCHEME IN CENTRAL/STATE GOVT WHICH IS APPLICABLE ALL OVER INDIA, IN WHICH LOAN WITHOUT GUARANTEE IS GRANTED/THE GUARANTORS IDENTITY IS CHECKED?

Yes, PMMY offers collateral-free loans across India, backed by the Credit Guarantee Fund for Micro Units (CGFMU).

17. ARE CARPENTRY AND RO WATER PLANT INSTALLATION ELIGIBLE FOR THE LOAN? IF SO, WHAT IS THE MAXIMUM AND MINIMUM AMOUNT OF LOAN?

Yes, both are eligible service/manufacturing activities. Minimum loan amount depends on requirement (starts from minimal amounts under Shishu), and the maximum limit is ₹10 lakh under Tarun.

18. WHAT IS THE ELIGIBILITY OF PERSONS FOR AVAILING MUDRA LOANS?

Any Indian citizen who has a valid business plan for a non-farm income-generating activity, has no prior default history with any financial institution, and meets the lender's credit requirements.

19. IS THERE ANY SUBSIDY UNDER PMMY? IF SO, DETAILS THEREOF?

There is no direct capital subsidy built into PMMY loans unless linked with other specific government subsidy schemes (like PMEGP).

20. KINDLY PROVIDE BRIEF PROFILE OF MUDRA?

MUDRA is a wholly owned subsidiary of SIDBI established in 2015 to refinance and support micro-enterprise lending across India.

21. CAN YOU PROVIDE INFORMATION ON MUDRA CARD?

The MUDRA Card is a RuPay debit card issued against the working capital limit provided to borrowers, allowing multiple withdrawals and repayments to minimize interest burden.

22. WOULD THE PEOPLE OF KUMHAR COMMUNITY BE BENEFITTED FROM PMMY FOR CARRYING OUT POTTERS WORK?

Yes, artisans and traditional craftsmen including potters (Kumhar community) are eligible for funding under PMMY.

23. WHAT ARE THE DOCUMENTS THAT ARE REQUIRED TO BE SUBMITTED FOR AVAILING LOANS UNDER MUDRA?

Standard documents include identity proof, address proof, passport photos, proof of business ownership/registration, project proposal/cost estimates, and past bank balance statements (if applicable).

24. WHAT IS THE GRIEVANCE MECHANISM AVAILABLE AGAINST BANK OFFICIALS, IN THE EVENT OF NON SANCTION OF LOAN?

Complaints can be escalated to the Higher Bank Management/Nodal Officer, District Collector, SLBC Coordinator, or submitted online on the Udyamimitra portal or CPGRAMS portal.

25. CAN U ELABORATE ON THE DETAILS OF SECURITY TO BE DEPOSITED FOR MUDRA LOANS?

No collateral security or third-party guarantee is required for loans sanctioned under PMMY, as they are covered under credit guarantee funds.

26. IS THERE ANY STANDARD FORMAT OF APPLICATION TO AVAIL MUDRA LOANS?

Yes, standard 1-page application forms exist for Shishu loans, and a common standard application form is used for Kishor and Tarun loans.

27. CAN YOU BRIEFLY EXPLAIN THE REPAYMENT TERMS, ELIGIBILITY AND ACTION PLAN FOR THE ASSISTANCE AVAILED FROM MUDRA?

Repayment tenure ranges between 3 to 5 years depending on the cash flow of the business, with moratorium periods allowed where applicable.

28. IS PMMY LOANS APPLICABLE TO ALL BANKS ALL OVER INDIA?

Yes, PMMY is implemented through all Public Sector Banks, Private Sector Banks, Regional Rural Banks, Cooperative Banks, NBFCs, and MFIs across India.

29. WHEN WILL PMMY START IN GORAKHPUR ZONE AND WHEN WILL BE SCHEME START IN SBI BRANCH?

PMMY is already operational nationwide, including all SBI branches and Gorakhpur zone.

30. IS THERE ANY REQUIREMENT FOR A LIFE INSURANCE FOR MUDRA SCHEME?

Life insurance is not a mandatory requirement for obtaining a MUDRA loan, though borrowers may opt for insurance independently.

31. IS OBTENTION OF PAN CARD A MUST TO AVAIL PMMY LOANS?

PAN Card is desirable, but standard KYC documents like Aadhaar, Voter ID, or Passport can be accepted if PAN is unavailable for smaller loans.

32. WHAT IS THE RATE OF INTEREST ON MUDRA LOANS?

Interest rates depend on the RBI guidelines and are charged on a cost-plus basis by the respective lending institution based on risk assessment.

33. IF THE LENDING INSTITUTIONS DO NOT GIVE PMMY LOANS, WHAT CAN I DO TO GET

IT?

You can apply online via the Udyamimitra portal, approach other participating banks/NBFCs/MFIs in your region, or raise a complaint with the higher authorities/SLBC nodal officer.

- 34. WHAT WOULD BE THE ACTION WHICH CAN BE INITIATED AGAINST BANKS WHICH INSIST FOR SECURITY/COLLATERAL UNDER PMMY, BECAUSE IN MANY PLACES, ALL THE BANKS ARE INSISTING FOR THE SECURITY/COLLATERAL? WHERE SHOULD COMPLAINT AGAINST THE BANK BE MADE WHEN BANK DEMAND SECURITY/COLLATERAL FOR LOANS UNDER PMMY?**

As per RBI guidelines, banks cannot demand collateral for MUDRA loans. If demanded, complaints should be registered with the Bank Nodal Officer, Banking Ombudsman, or DFS via CPGRAMS.

- 35. IS HANDICAPPED PERSONS ALSO ELIGIBLE FOR PMMY LOANS?**

Yes, persons with disabilities are fully eligible to apply for MUDRA loans for income-generating micro-business activities.

- 36. IS IT REQUIRED TO SUBMIT IT RETURNS FOR THE PRECEDING 2 YEARS FOR AVAILING LOAN OF ₹10 LAKH UNDER PMMY?**

For larger loan amounts under Tarun (up to ₹10 lakh), lenders generally request financial statements and Income Tax Returns for the last 1-2 years to evaluate repayment capacity.

- 37. UNDER PMMY-SHISHU LOANS, WHAT IS THE TURN AROUND TIME FOR PROCESSING THE LOAN PROPOSAL?**

The processing time for Shishu loans is designed to be minimal, typically handled within 7 to 14 days of complete application submission.

- 38. WHO ARE THE ELIGIBLE APPLICANTS UNDER PMMY?**

Individuals, Proprietary Concerns, Partnership Firms, Private Limited Companies, Cooperatives, and groups involved in non-farm business activities.

- 39. ARE MUDRA LOANS AVAILABLE FOR PURCHASE OF CNG TEMPO/TAXI?**

Yes, transport vehicle purchases for commercial use (like CNG tempos, auto-rickshaws, taxis, and goods carriers) are eligible activities under PMMY.

- 40. I HAVE A SAVINGS BANK ACCOUNT WITH CORPORATION BANK, UNNARO, U.P. WOULD LOANS UNDER MUDRA BE AVAILABLE BASED ON THE SB ACCOUNT?**

Yes, having an active savings bank account helps establish banking relationship and KYC verification for availing a MUDRA loan from that branch.

- 41. IS KHADI ACTIVITY ELIGIBLE UNDER PMMY LOANS?**

Yes, micro-activities related to Khadi manufacturing, handloom, and textile products are eligible under PMMY loans.